Why North Carolina's Migration Boom Isn't Making Homebuilders Money

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Rating	Target	Price	Return	Mkt cap	Bull / bear
Underweight	$150	$148.26	+1%	$3.7bn	172 / 98

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I just moved to North Carolina for my graduate education. I'm not alone: in the year to July 2025 North Carolina gained a net 84,000 residents from other states, more than any other state. Given my previous work in housing, I was curious whether this presented an opportunity for homebuilders, and investors, to capitalize on new demand. I identified M/I Homes as a mid-cap builder with a large enough presence in the region for the influx of new arrivals to move the needle.

The call

I am initiating on M/I Homes at **Underweight** with a **$150 price target**, about 1% above the current price and well below the street. This is a well-run company — net cash, retiring roughly 5% of its shares a year, and at 1.16× book not obviously expensive. The problem is what it now earns on that book. Return on equity has fallen from 19.2% in 2024 to 9.4% on trailing numbers. At an 11.8% cost of equity, today's multiple already pays for a normalized return of about 13.2%. My base case reaches 10.8% by 2028, and only by assuming a competitive recovery I can't verify.

A 1% return is technically positive, but nothing impressive. MHO pays no dividend, so that's all you get, and with inflation what it is that's almost certainly negative in real terms. But the real issue is the risk. A +1% expected return against an 11.8% cost of equity is roughly 11 points of negative alpha. And the risk is one-sided. My bull case is +16% and my bear case -34%, and the bull needs two independent things to go right at once, both rates falling and Sunbelt supply clearing, whereas the bear needs only one thing to keep happening.

The more interesting finding is underneath the rating, and it's the opposite of what I expected. In 2025 the Southern segment, Raleigh and Charlotte alongside Florida and Texas, saw its operating margin fall from 18.1% to 10.4%. The Northern segment, the Midwest business the market treats as a legacy drag, held at 14.7%. The growth region stopped carrying the profit.

Demand is real; margin is the problem

That net inflow is real, but it is slowing. 2025 was about 81% of the 2020–21 peak, and more importantly, arrivals are not clearing at the price builders want. House price indices for Raleigh and Charlotte rose just 0.4% and 1.1% over the three quarters to Q2 2026: flat in nominal terms, down in real terms, in the state everyone is moving to.

This was not a rate shock. The 30-year fixed mortgage averaged 6.80% in 2024 and 6.72% in 2025, eight basis points apart. Southern cost per home barely moved. Essentially the whole margin decline was price handed back at the closing table.

Splitting the Southern segment into price and cost settles the question. Cost per home, adjusted for the $41m of Southern inventory write-offs taken in 2025, went from $361k to $362k over two years. Average selling price fell more than $27k. There is no cost story here.

Table 2: Unit economics by region, $ thousands per home delivered, excluding write-offs

Region	Metric	2023A	2024A	2025A	2026E	2027E	2028E
Southern	Net average selling price	488.7	480.2	461.5	443.4	452.6	465.4
	Cost per home	361.2	352.3	362.0	360.9	368.1	376.6
	Gross profit per home	127.5	127.9	99.5	82.5	84.5	88.8
	Gross margin	26.1%	26.6%	21.6%	18.6%	18.7%	19.1%
Northern	Net average selling price	480.9	490.6	508.7	501.9	515.4	529.6
	Cost per home	387.8	382.2	395.2	395.2	403.9	413.6
	Gross profit per home	93.1	108.4	113.5	106.7	111.4	116.0
	Gross margin	19.4%	22.1%	22.3%	21.3%	21.6%	21.9%

Table 2: Unit economics by region, $ thousands per home delivered, excluding write-offs

Region	Metric	2023A	2024A	2025A	2026E	2027E	2028E

This was an important lesson for me, because I came into this project with the assumptions of the Portland, OR housing market in place. But the Southeast generally has much laxer zoning and permitting codes than the West Coast, which allows the market to quickly respond to the influx of demand with more construction, apparently even to the point of oversaturation. From a policy perspective it's a success story, but unfortunately MHO was not positioned to profit from that success.

The forecast

Revenue is built region by region, deliveries times average selling price for Northern and Southern separately, rather than off a blended growth rate, because I'm interested in regional trends. Gross margin is what is left after an incentive load reduces the realized price and a separately-driven cost per home is subtracted.

Incentive load is a base rate, plus a slope against the mortgage rate above a 5.5% neutral level, plus an explicit competition premium. That third term is necessary because rates were flat between 2024 and 2025 while the Southern margin collapsed, so a rate-only model cannot reproduce what actually happened.

The 2026 estimate is pinned to reported first-half results: 4,120 deliveries, $5.57 of EPS, a $459k average price. My full year of $11.94 implies a second half about 8% ahead of the first, against an actual 6% step in 2025. But even this rosy outlook doesn't translate to a strong case for the stock.

Table 3: 2027E diluted EPS: mortgage rate (rows) against Southern competition premium (columns)

	0.5pp	1.7pp	3.0pp	4.2pp	5.5pp
5.50%	17.48	16.64	15.75	14.88	13.97
6.00%	16.81	15.97	15.08	14.21	13.30
6.35%	16.34	15.50	14.61	13.75	12.83
6.75%	15.81	14.96	14.07	13.21	12.30
7.25%	15.14	14.29	13.40	12.54	11.63

Read that grid across, not down. Moving the mortgage rate over its whole range shifts 2027 EPS by about $2.34. Moving the competition premium over its range shifts it by $3.51. The competitive variable matters more than the Fed, which is the opposite of how this sector is usually discussed.

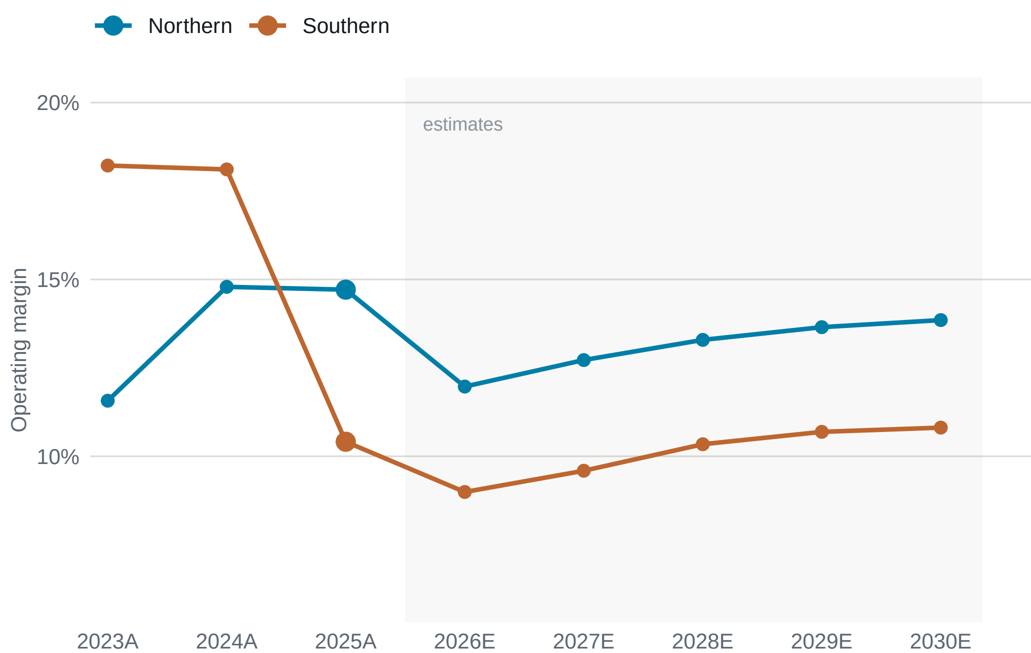

Figure 1: Segment operating margin. Northern has been flat for two years; Southern lost nearly 800bp in one. My base case does not restore Southern to its 2024 level within the forecast. Source: FY2025 10-K segment note; estimates my own.

Whose numbers these are

M/I Homes publishes no quantitative guidance; no delivery, revenue, margin or EPS target appears in either the FY2025 or the Q2 2026 release. Every forecast here is mine. Only four analysts cover the stock, so consensus is thin, but it is the one external check available:

Table 4: My estimates against consensus

Metric	Mine	Consensus	Range
2026E revenue	$4.15bn	$4.20bn	—
2026E EPS	$11.94	$12.32	$11.96–$13.34
2027E EPS	$14.06	$15.41	$14.24–$16.49
Price target	$150	$170.67	—
Rating	Underweight	Buy	—

I sit below the street on both years and, by a wider margin, on the target. My 2026 number is marginally below the lowest published estimate, which follows directly from not assuming a second-half margin inflection. I'm ok with deviating from the conventional wisdom here because four ratings is not that many, and I think the assumptions I made in the model are sound. However, I acknowledge it's a bit bold for my very first call. Time alone will tell.

How much of the recovery is mine to defend. Of the $2.12 of 2027 EPS growth over 2026, $1.08 is extrapolation of reported trends: volume, price, cost and the buyback. $0.40 is my mortgage-rate decline. And $0.63, 30% of the total, is the Southern competition premium decaying. I think it's a fair assumption because the current situation is an anomaly, but there's still no way to verify it until it happens. That's why the sensitivity grid matters more than the point estimate.

Valuation

I ran a DCF and a comparables analysis separately, and they disagree sharply. The DCF, at a 10.73% WACC and 2.5% terminal growth, gives $110.14 as of today, well below the market. Because the price target is a twelve-month one, Table 6 carries that value rolled forward a year at the 11.8% cost of equity, or $123; the comparables leg is likewise struck on book at roughly September 2027 rather than book today. Both legs are therefore quoted at the same future date as the target. The unadjusted peer median price-to-book of 1.40× gives about $190, significantly above it.

The DCF is low because a builder's earnings recovery does not reach shareholders. My base case grows NOPAT from $300m in 2026 to $469m in 2030, but land and homes under construction absorb roughly $200m a year over the same period. Growth, for a builder, consumes cash.

Table 5: The comparable set. Prices 4 September 2026; equity from each company's most recent 10-Q; trailing net income derived from market capitalisation and trailing P/E so every company sits on the same basis.

Company	Price	Mkt cap $m	P/B	P/E	ROE
DHI — D.R. Horton	$142.94	39,980	1.68×	13.60×	12.3%
LEN — Lennar	$83.88	20,210	0.94×	13.12×	7.1%
PHM — PulteGroup	$124.36	23,310	1.79×	12.68×	14.1%
TOL — Toll Brothers	$141.43	13,030	1.53×	11.32×	13.5%
MTH — Meritage	$67.75	4,420	0.87×	14.07×	6.2%
TPH — Tri Pointe	$46.95	4,000	1.27×	22.24×	5.7%
MHO — M/I Homes	$148.26	3,748	1.16×	12.41×	9.4%

The striking thing in that table is the dispersion. Earnings multiples sit in a pretty narrow band, 11.32× to 14.07× excluding Tri Pointe, whose 22× reflects trough earnings rather than a rich valuation, while returns on equity run from 6.2% to 14.1%. So the market is paying similar earnings multiples for notably different returns on capital.

Table 6: Valuation summary — two independent views

Method	Value	vs price	Weight
Discounted cash flow, rolled forward 12 months	$123	-17%	60%
Peer median P/B on Sep-2027E book	$190	+28%	40%
Weighted price target	$150	+1%	100%

There's a $67 a share difference between the two methods, which makes me tread cautiously both with how I weight them and how much stock I put in the headline number. The DCF is grounded in what the business earns and what that leaves for shareholders once land has absorbed its share, while the comparables are grounded in what the market currently pays other builders for a dollar of book, and say nothing about whether the cash ever arrives. I weight the first more heavily for that reason.

However, it's ultimately a judgment call, and the target is more sensitive to it than I would like. At an even split it is about $156, while weighting the comparables two-to-one over the DCF reaches roughly $168. Weighting the comparables at 100% gives $190, which is a Buy, so an analyst who trusts peer multiples and distrusts my cash-flow forecast reaches the opposite conclusion from the same spreadsheet. That's probably where the consensus Buy rating comes from. My objection is that most of that number is a re-rating rather than earnings. Of the

$42 by which the comparables value exceeds today's price, only about $9 comes from book value growing between now and September 2027. The remaining $32 assumes M/I Homes is awarded the peer multiple of 1.40× book instead of the 1.16× it trades on today. That is the whole bet, and I'm skeptical that a builder earning 10.8% on equity should be priced like ones earning 12% to 14%.

I am about 9% below consensus on 2027 earnings and land at $150 against the street's $170.67, so the target is consistent with the estimates rather than sitting on top of them.

The bear case

The bear case isn't so much a recession as that the competition premium is structural rather than cyclical. It could be that even the slow decay in my base case is too generous, and the discounting simply persists.

Affordability in Raleigh and Charlotte is now binding, so the marginal buyer can only be reached by moving down in price and specification. Every builder in those markets faces the same arithmetic and reaches the same conclusion at the same time. MHO controls 30,863 lots in the Southern region, 18,124 of them owned outright. Land bought for a $500k product and sold into a $440k market does not earn a 20% margin, and the $41m of Southern write-offs in 2025 may be the first installment rather than the last.

The rate backdrop doesn't help. The 30-year mortgage sits at 6.71% and the 30-year Treasury at 5.27%. If rates hold near 7% and Southern incentives ratchet higher, return on equity settles near 6.7%. The bull case rests on Sunbelt spec inventory clearing faster than I assume, and gets return on equity to 12.6%. I value both the same two ways as the base case, so the numbers are comparable rather than a separate judgement call.

Table 7: Scenarios, valued the same two ways as the base case

Scenario	2027E EPS	2028E ROE	P/B used	Value	vs price	Multiple taken from
Bull	$16.19	12.6%	1.68×	$172	+16%	D.R. Horton, which earns 12.3%
Base	$14.06	10.8%	1.40×	$150	+1%	the peer median
Bear	$9.53	6.7%	0.94×	$98	-34%	Lennar, which earns 7.1%

What I find reassuring about this is that neither end of the range is an extrapolation into empty space. Each scenario maps onto a builder that exists today. The bear case has MHO earning 6.7% on equity, close to the 7.1% Lennar earns now, and Lennar trades at 0.94× book. The bull case has it earning 12.6%, close to D.R. Horton's 12.3%, and D.R. Horton trades at 1.68× book. The base case sits between the two and takes the peer median rather than any single builder's multiple. So the question is not whether these multiples are achievable in the abstract; it is which of these real companies M/I Homes comes to resemble. That is a more concrete question than a range of price targets usually implies, and it's why I am comfortable with the spread being wide.

The skew is clearly unfavorable, roughly +16% against -34%, and the bull case needs two independent things to go right at once: rates falling and Sunbelt supply clearing. The bear case needs only one thing to keep happening. That asymmetry, more than the target itself, is what makes this an Underweight.

What would change my mind, constructively: two consecutive quarters of Southern gross margin expansion with average selling price stable or rising. Negatively: further write-offs in the Southern land bank, or Southern average selling price falling below $440k.

Sources and limitations

Claude Code assisted me with gathering data, writing code and Excel. Financial statements were copied from the FY2025 Form 10-K (filed 13 February 2026); segment revenue, cost and operating income come from its Note 12. Operating detail by region comes from the Q4 earnings releases for 2023, 2024 and 2025 and the Q2 2026 release. Consolidated figures were checked against SEC XBRL company facts and match to the dollar. Rates and house price indices are from FRED; prices and trailing multiples from stockanalysis.com on 4 September 2026. All forecasts are mine.

Two limitations are worth stating. MHO reports only two geographic segments, so Raleigh and Charlotte cannot be separated from Florida and Texas in public filings. "Southern" is the closest available proxy for the North Carolina question. And the financial services segment, about 13% of segment operating income, is valued inside the consolidated DCF rather than separately, which is a simplification rather than a strictly correct treatment.

Prepared as a personal analytical exercise, not investment advice. No position held.